



EMPTY storefronts dot the Third Street Promenade, where people now can stroll with open alcoholic drinks. JASON ARMOND Los Angeles Times

Jet fuel stockpile declines steeply

Iran war squeezes global oil supply, putting pressure on California's reserves.

By CAROLINE PETROW-COHEN

As the Iran war strangles the movement of oil around the globe, California's jet fuel reservoirs are running low. The state — which refines much of its own fuel in El Segundo and elsewhere but still relies on crude oil imports — has seen its jet fuel stock decline by more than 25% from last year's peak to a level not seen since 2023, according to data from the California Energy Commission.

The supply is shrinking as a global shortage is already affecting travelers' summer plans with canceled flights and higher fares. It could even affect plans for people coming to Los Angeles for the 2026 World Cup, which starts in June, said Mike Duignan, a hospitality expert and professor at Paris 1 Panthéon-Sorbonne University.

"People don't know exactly how this is going to escalate," he said. "There's a huge black cloud over the sea for the World Cup and the travel slump that we're seeing is all linked to this oil shortage."

As fuel supplies shrink, flight prices are rising. Airlines are adding baggage surcharges to cover fuel costs. Several routes leaving from smaller California hubs, including Sacramento and Burbank, have already been canceled.

Air Canada has suspended flights for this summer, cutting routes from JFK to Toronto and Montreal.

"Jet fuel prices have doubled since the start of the Iran conflict, affecting some lower profitability routes and flights which now are no longer economically feasible," the airline said in a statement last week.

Europe had just more than a month's supply of jet fuel left last week, the International Energy Agency said. In an effort to cut costs, the German airline Lufthansa slashed 20,000 flights from its summer schedule this week.

Without a fresh oil supply flowing through the Strait of Hormuz, the situation is unlikely to improve, experts [See Fuel, A12]

Tensions remain high over strait

Trump says he issued a "shoot and kill" order for any small Iranian boats laying mines. **WORLD, A2**

Santa Monica banking on more than its name

Events, focus on safety are path to revival, city says

By Salvador Hernandez

For much of its history, Santa Monica has been the subject of glamorous picture postcards: the fun of the pier, the beauty of the beach, the innovative shopping meccas and tourist spots.

But in recent years, the city has endured its share of unflattering images: empty storefronts on the once-bustling Third Street Promenade, the closure of long-serving businesses across the city and challenges with its unhoused population.

Many cities have been slow to recover from the COVID-19 pandemic, but Santa Monica's struggles have been notable. With tax revenue falling, the city last year declared itself in "fiscal distress."

Now, Santa Monica leaders say, the city is poised for a turnaround, with special events — and a refreshing drink or two — the keys to bringing tourists and lo-

cals back to the downtown area.

The effort is built around a central realization: The days when Santa Monica would expect visitors simply because it was Santa Monica are gone. Now, the city must earn its business. The local economy — and the tourist industry — has changed since the heyday of the early 2000s, officials said, and Santa Monica must change with the times.

"We know that if we want to invite foot traffic to Third Street Promenade, the consumer trends are different than they were in early 2000s," Mayor Caroline Torosis said. "We have to bring economic recovery back, and we weren't going to do that doing business as usual. We have to invite people back."

Toward that end, the city plans to invest \$3 million into its moribund Third Street Promenade. [See Santa Monica, A8]

Could a clean lake fix troubled site?

By SANDRA McDONALD

MacArthur Park was designed as a bucolic respite from urban life, but in recent years it has become better known as a homeless gathering spot, an open-air illicit drug market and a magnet for gang violence and crime.

Los Angeles officials announced a \$40-million project at the park this week that's aimed at turning rainstorm runoff into lake water — and maybe improve the park's tarnished reputation as well. The project will also include new landscaping, walking paths and other features to enhance the location's appeal.

"We know MacArthur Park has faced real challenges, and those challenges

L.A. announces a \$40-million project at MacArthur Park



GENARO MOLINA Los Angeles Times

JIMMY KIM with the city parks department looks over plans to capture rainfall for MacArthur Lake.

are the result of underinvestment in infrastructure, public health and basic services," City Councilmember Eunisses Hernandez, who represents the area, said at the unveiling of the park plans Wednesday. "But what we're doing now is different."

The MacArthur Park Lake Stormwater Capture Project calls for building a water treatment system that will be able to turn rainfall into lake water — roughly saving 9 million gallons of potable water annually, or enough to fill an Olympic-size swimming pool 14 times, Traci Minamide, the Los Angeles Sanitation Department interim general manager and executive director, said at the Wednesday news conference.

[See Lake, A7]

A major shift in cannabis policy

Trump reclassifies medical marijuana as less dangerous and allows tax deductions.

By ALANNA DURKIN RICHER AND GENE JOHNSON

WASHINGTON — President Trump's acting attorney general on Thursday signed an order reclassifying state-licensed medical marijuana as a less-dangerous drug, a major policy shift long sought by advocates who said cannabis should never have been treated like heroin by the federal government.

The order signed by Todd Blanche does not legalize marijuana for medical or recreational use under federal law. But it does change the way it's regulated, shifting licensed medical marijuana from Schedule I — reserved for drugs without medical use and with high potential for abuse — to the less strictly regulated Schedule III. It also gives licensed medical marijuana operators a major tax break and eases some barriers to researching cannabis.

The Trump administration also said it was jumpstarting the process for reclassifying marijuana more broadly, setting a hearing to begin in late June.

Trump told his administration in December to work as quickly as possible to reclassify marijuana. On Saturday, as the Republican president signed an unrelated executive order about psychedelics, he seemed to [See Cannabis, A6]

Shareholders at Warner Bros. vote for merger

The \$11-billion deal gets overwhelming backing but will still need federal approval.

By MEG JAMES

Paramount Skydance's proposed takeover of Warner Bros. Discovery cleared a major hurdle Thursday as nearly 99% of Warner stockholders embraced the \$11-billion deal.

Approval had been expected. Paramount Chairman David Ellison's proposal would pay Warner investors \$31 a share — nearly four times the price of the company's stock a year ago. After the nine-minute special shareholder meeting, held virtually, Warner Bros. Discovery announced the merger had received support from 99% of the votes cast, representing 70% of the company's outstanding shares.

More than 1.7 billion shares were voted in favor of the transaction; 16.2 million shares were opposed.

Paramount offered the generous premium to compete with, and ultimately triumph over, Netflix, which withdrew from the auction in late February after Ellison's father, Oracle billionaire Larry Ellison, agreed to guarantee the financing of his son's deal.

Investors, however, expressed disdain for Warner Chief Executive David Zaslav's proposed golden parachute, which could swell to \$887 million, depending on when the transaction closes. His cash, stock and options would be valued at more than \$550 million. Warner board members also agreed to cover his tax bill, which could

approach \$330 million, should the merger be completed by year's end.

Stockholders cast 1.4 billion votes — 82% of the vote — against Zaslav's compensation in a symbolic, non-binding measure. Warner's board is expected to pay him the money anyway.

The merger would give Paramount, which owns CBS and the Melrose Avenue film studio, valuable assets like HBO, CNN and Warner's massive film and TV library — including the Harry Potter and DC Comics franchises — plus Warner Bros. studios in Burbank.

"We look forward to closing the transaction in the coming months and realizing the creation of a next-generation media and entertainment company that better serves both the creative community and consumers," Paramount said Thursday in a statement.

The company now must secure regulatory approvals in the U.S. and abroad. Ellison, who is poised to honor President Trump with a dinner Thursday evening in Washington, hopes to complete the deal by late summer.

Paramount's deal has encountered significant opposition in Hollywood and beyond.

More than 4,000 filmmakers, actors and industry workers, including Ben Stiller, Bryan Cranston, Ted Danson, J.J. Abrams, Jane Fonda and Kristen Stewart have signed an open letter asking California Atty. Gen. Rob Bonta and other regulators to block the deal, saying it "would reduce the number of major U.S. film studios to just four."

Fonda's Committee for the First Amendment called Thursday's vote "a serious [See Shareholders, A12]

MICHAEL TILSON THOMAS, 1944 – 2026

Prodigious maestro thrilled near and far

By NARDINE SAAD AND JESSICA GELT

Grammy-winning conductor Michael Tilson Thomas, the bird-like maestro affectionately dubbed MTT and a "bad boy of classical music" while leading almost all of the major orchestras of the United States and Europe since his teen years, has died in his San Francisco home.

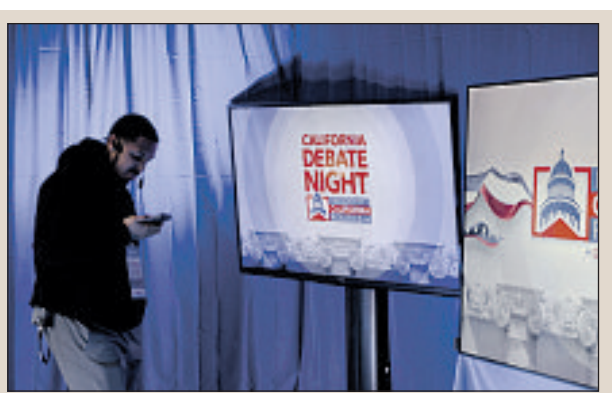
Born in Los Angeles, the celebrity conductor and former child prodigy died Wednesday of glioblastoma, a representative for Tilson Thomas confirmed to The Times. He was 81.

He had a brain tumor

removed in 2021 and underwent months of therapy. He was met with rapturous standing ovations at the New York Philharmonic and San Francisco Symphony upon his return to the stage months later.

Tilson Thomas' illness seemed to inspire him to work more and travel regularly. In 2022, he conducted in Prague, Munich, London, New York, Miami, Cleveland, San Francisco and L.A. When Times classical music critic Mark Swed sat down for an interview with him in 2023, the critic noted that Tilson Thomas seemed as indefatigable as ever.

Tilson Thomas told Swed that his doctors were "jubilant" after his most recent [See Tilson Thomas, A6]



JASON HENRY Pool Photo

GOVERNOR DEBATE

Signage announces Wednesday's gubernatorial forum in San Francisco. Six candidates sparred over wealth, experience and race. **CALIFORNIA, B1**

L.A. air among dirtiest in U.S.

The region has high levels of ozone and fine particulates, American Lung Assn. data show. **CLIMATE, A9**

Weather
Sun and some clouds.
L.A. Basin: 75/57. **B6**

Markets **A12**
Opinion Voices **A13**

Olympic tickets on sale in August

Despite backlash over high prices and fees, LA28 saw strong sales this month. **SPORTS, B10**

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